OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Questions for Cr Luciano Casmiri on his two data centre posts and Shoalhaven's reclaimed water

Sent 13 November 2026 · To Shoalhaven City Council · Response requested by 18 November 2026

OPEN LETTER
To: Cr Luciano Casmiri, Shoalhaven City Council
From: Stephen Prothero, Eye on Shoalhaven Council
Date: 13 November 2026
Subject: Your two Facebook posts on data centres: what is proposed, what the water report says, who pays, and who decides

STATUS OF THIS LETTER
This is a public open letter to a councillor. It is published by Eye on Shoalhaven Council as a matter of public interest journalism.
It is not a complaint. It is not a complaint under Council's Complaint Handling Policy, and it is not to be registered, assessed or managed as one.
It is not a Code of Conduct complaint. It does not allege a breach of the Code of Conduct by any person, and it is not to be referred to the Complaints Coordinator, a conduct reviewer or the Office of Local Government.
It is not an access application. It is not an application under the Government Information (Public Access) Act 2009 (NSW), formal or informal, and no statutory time limit is started by it.
It is not a request for service. It does not ask Council to take action, to make a decision, or to review a decision.
It is a set of questions put to an elected public official in the same way a journalist puts questions to any public figure. You may answer all, some or none of the questions, and may do so in whatever form and at whatever time you choose. Some questions can be answered in a line and others may need work. If you intend to comment on any question, a short reply to this email saying so is all that is needed.
Replies will be published in full. If no reply is received, that will be recorded as it stands.

Cr Casmiri,

You have now put up two Facebook posts about data centres. I have read both. This letter puts one set of questions to you on the two together, so that residents can see what is behind them. I have kept it to what the posts say and to documents anyone can check. Where I infer something, I say so.

1. What your posts say
• First post (AI data centres). You say data centres can create many amazing business opportunities and employment, including a large number of sub-businesses in

Shoalhaven. You list rezoning, planning approvals, energy and water, with water depending on the cooling technology, and you ask how Council can maximise the return to Council and ratepayers. The post carries a picture of a solar-roofed campus.

• Second post (reclaimed water). You cite the Shoalhaven Water Reclamation Annual Report 2024-25 and say Shoalhaven has abundant reclaimed water suited to cooling data centres. You say unutilised Council land costs ratepayers money, that ratepayers own Shoalhaven Water, that "sustainable" data centres would bring jobs and income in strategic locations where other developments would not comply with the DCP, and that big tech can fund renewables.

2. What the record shows

• The Report. Table 3-1 shows 7,428 ML of effluent output, 2,168 ML reused and about 5,260 ML released. The Report's text says 36% was reused, but the table works out to 29%. The highlights say Council is reviewing allocations to the Northern Shoalhaven reclaimed water scheme and potential new users. The Report does not mention data centres.

• Shoalhaven Water. Section 409 of the Local Government Act 1993 restricts how money held in the water and sewer funds may be used, and allows only a capped dividend, subject to State guidelines.

• Who decides. As I read the State planning rules, a data centre with an electrical capacity over 15 MW is State significant development, decided by the Minister or the Independent Planning Commission. The Environmental Planning and Assessment Act says DCP provisions are not statutory requirements (s 3.42(1)). I also understand an August 2026 amendment removed a council objection as a trigger for referral to the Commission for data centres.

• A proposal. I have found no public data centre proposal for Shoalhaven as at 13 November 2026.

3. Questions

Behind the posts

1. Has any data centre developer, agent or investor approached you, Council, Shoalhaven Water or the economic development team? Is there a particular proposal or site behind either post? If not, what prompted them?

2. You say unutilised Council land costs ratepayers money. Which parcels do you mean, what is the cost, and where does the figure come from?

3. Where in the 2024-25 Reclamation Report does it say reclaimed water is available for data centres? Which reuse figure do you rely on, 36% or 29%?

Water

4. How many megalitres a day do you have in mind, with what cooling technology, drawn from which treatment plant, and would it be reclaimed water or drinking water?

5. Which existing users would give way in a dry year: the farms and sporting grounds already on the scheme, or the data centre? Have you seen the user agreements?

6. Who would pay for the new pipes and treatment, and how would existing Shoalhaven

Water customers be protected from the cost?
7. You say ratepayers own Shoalhaven Water. Given section 409, how would ratepayers receive income from a data centre buying its water?
Power and sustainability
8. How many megawatts do you have in mind, where would it connect, and who would pay for the network upgrade? NSW's proposals reportedly ask developers to pay network fees and to sign renewable energy agreements. Would you require both before supporting a proposal?
9. What do you mean by "sustainable"? What water, power and emissions standard must a data centre meet to earn the word?
Planning and place
10. If the State decides data centres above 15 MW, what is Council's role, and how would Council "maximise the return"? If I have the law wrong, please say where.
11. Which DCP standards do you think a data centre should not have to meet, and in which locations? Would those locations be near homes or on land that floods?
Benefits and downsides
12. How many permanent jobs would a data centre of the size you have in mind create, how many Shoalhaven sub-businesses, and what is your source? What income would ratepayers receive, and by what mechanism?
13. Your posts name water and energy but present them as steps towards opportunity. What are the risks you see, including noise, power prices and residents' objections such as those that ended the Lane Cove West proposal, and what safeguards would you require before you supported any project?
Contact and position
14. Have you met or corresponded with any data centre proponent, agent or lobbyist since your election? If not, please say so.
15. Do your posts reflect the position of SIG, and do Crs Kemp, Proudfoot and Wilkins share it? Do you intend to bring a notice of motion on data centres, and what would it say?

I ask for a response by 5pm on Wednesday 18 November 2026. If any question cannot be answered, please say which and why, so the reason can be reported accurately.

I intend to publish this letter and any reply in full at steveprothero.substack.com and in the Eye on Shoalhaven Council group. If no reply is received by that time I will report that plainly.

No adverse finding has been made against any councillor, officer or Shoalhaven Water, and none is implied. Every factual statement in this letter is drawn from the posts, from the documents named below or from public sources. Where I infer, I have said so. I will correct any error promptly and with the same prominence.

Yours sincerely,

Stephen Prothero
